

BANKING STRUCTURE, NBFCs AND FINANCIAL REGULATION

Economy Topic 5 | continuous regulatory architecture | current-source cutoff 09-09-2026

01 BANKING ENGINE



FACT -> MECHANISM -> LIMIT -> ANSWER USE

02 LEGAL AXES



FACT -> MECHANISM -> LIMIT -> ANSWER USE

03 BANKING MAP

- 1 PSB | private | foreign branch/WOS
- 2 RRB ownership: Union 50, sponsor 35, State 15
- 3 Owner, board, management and RBI have separate roles

FACT -> MECHANISM -> LIMIT -> ANSWER USE

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FACT -> MECHANISM -> LIMIT -> ANSWER USE

04 CO-OPERATIVE PERIMETER

1 Co-operative law: registration and member governance

2 RBI: banking licence, prudence and supervision

3 2020 amendment strengthened RBI powers

4 Dual architecture remains; PACS are not banks

FACT -> MECHANISM -> LIMIT -> ANSWER USE

05 DIFFERENTIATED BANKS

5.1 LAB: local geography

5.2 SFB: deposits plus lending; PSL 60% from FY25-26

5.3 Payments Bank: Rs 2 lakh cap; no own lending

5.4 Business model determines permitted functions

FACT -> MECHANISM -> LIMIT -> ANSWER USE

06 INCLUSION RAIL

1 Business Correspondent is bank's agent

2 PSL is a dated portfolio mandate

3 Access -> usage -> suitability -> outcome

4 Targets do not replace underwriting

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07 LICENCE TO EXIT

1

BR Act s.22 entry

2

Prudential rules and risk-based supervision

3

PCA: capital, NNPA and leverage

4

Resolution and DICGC are separate stages

FACT -> MECHANISM -> LIMIT -> ANSWER USE

08 DEPOSIT INSURANCE

8.1 Rs 5 lakh effective 4 Feb 2020

8.2 Per depositor per bank

8.3 Same right and capacity; all branches aggregated

8.4 No cover for NBFC deposits or securities

FACT -> MECHANISM -> LIMIT -> ANSWER USE

09 NBFC BOUNDARY

1 50-50 principal-business test

2 No demand deposits, own cheques or DICGC

3 NBFC-D versus NBFC-ND

4 Wholesale funding can create rollover runs

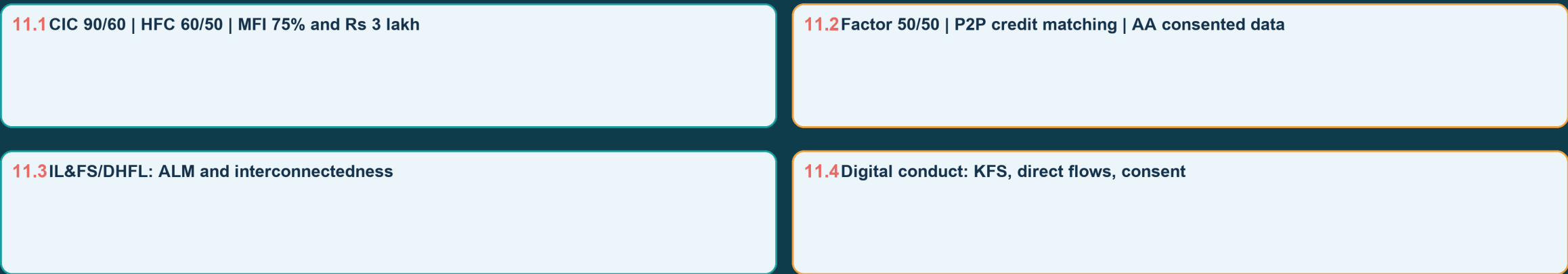
FACT -> MECHANISM -> LIMIT -> ANSWER USE

10 SBR LADDER

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11 SPECIALISTS + RISK



12 DFI + ANSWER SPINE

- 1 NABARD rural | SIDBI MSME | NaBFID infrastructure
- 2 Classify -> map liabilities/assets -> trace contagion
- 3 Assign owner/board/manager/regulator/insurer
- 4 Preserve diversity; regulate equivalent risk equivalently

Qualified verdict: preserve useful diversity, regulate equivalent risk equivalently, and keep exit credible.